

regard it in the calm, intellectual manner of Dr. Kriz. I wish I could. I feel that humanity is crucified by managed money and by 'wise and competent men' deciding what shall happen to widow Jones and to the humble inventor who has saved up his money in the hope of doing something with it. I have told this to Donald McLaughlin and he, I think, is dimly aware of my thoughts – that it is dishonest and cynical to deny to the people of the United States, as if they were second-rate citizens, the right to convert their currency. "Are we slaves that foreign central bankers can cynically decide whether their central bank is going to draw some more gold, as they have drawn over \$1 billion in the last nine months, while American citizens are not afforded an equal choice of the kind of money they may prefer for their individual or company protection? I believe that politically we can enact the gold-coin standard of money and should do so. And the people who haven't felt the pulse of America are going to feel it in no uncertain terms very soon." (pp. 58-59) What Mr. McKenna is overlooking, of course, is that Mr. Kriz's "calm, intellectual manner" is backed by a wealth of knowledge about central banking practices. Mr. Kriz is fully aware of the extent to which the American people have been "robbed" and "crucified" in the past by the very type of gold convertibility that Mr. McKenna wants. It was the convertible dollar of the 1920s that finally led to the collapse of credit and resulting foreclosures, unemployment, and injustice between debtors and creditors during the depression of the 1930s. Mr. Kriz was not alone in the belief that the program Mr. McKenna wants us to follow now would result in the same type of drastic deflation from which we have suffered so often in the past. Several of the men present voiced fears of a deflation if such a program were adopted now. On the other hand, Mr. McKenna's righteous indignation with the present money system, which is tied to nothing at all and which is steadily whittling away the value of our dollar, is also well justified. There is no question but that many millions of hard-working Americans are being robbed under the present system. The value of their savings is being destroyed by a steady inflation of the per-capita supply of dollars. The only logical way out of this tangle is to abandon the gold-credit mechanism and adopt the type of system that is implied in the views of Bradford B. Smith. There is no other way – consistent with a free-enterprise economy – of protecting ourselves from both inflation and deflation. Mr. George made the point that before the United States should consider restoring domestic convertibility, it would be absolutely necessary that a number of other countries put into effect "reforms ... that would be extremely radical and difficult and politically unpalatable." (p. 62). Mr. McKenna then asked: "Is it wrong that Americans should have good money when foreigners have not yet attained good money? Couldn't America have good money even though other countries can't afford good money? Don't Americans deserve it because we work harder and cause the money to come into the Treasury in exchange for our labor and our risk-taking? What is wrong with Americans having better money? We have better automobiles and better everything else. Better money would be a leadership for the world," (p. 65) (Italics added) Mr. McKenna is absolutely right! America does deserve a good money. And without any question, "better money would be a leadership for the world." But the hard fact is that gold is not as good a money as we could have, because its supply does not keep pace with population. And gold-credit is a still worse money, because it collapses periodically. And another hard fact is that gold is an international commodity – and therefore, if our money is linked to gold, we must consider the situations that exist in other gold-standard countries. It would be foolhardy not to. You can rest assured that the speculators in foreign exchange are keenly aware of the relative strength of the credit situations in different countries. For us to ignore the situations that exist in other gold-standard countries would be to invite disaster. In other words, if we stick to gold, it's unfortunate but true that Americans can't have as good a money as they deserve. And it's also true, as Mr. George pointed out, that certain basic reforms in other countries are needed before we can get the gold standard working as it used to work. And that means "meddling" in foreign affairs – a process that is repugnant to most Americans. If we don't meddle, there's no possibility of making the gold standard work; and if we do meddle, we get a standard we don't want anyhow because of the "barbarous" way in which it works. It should be easy for us to make up our minds what to do when